

Pre-Feasibility Study To Establish A Diving Center In Aqaba



2017



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1. Executive summary

The idea of the project is to establish a specialized center for diving in certain places of the governorate (where the Coral reefs exist) to exploit the advantages of Aqaba, where it is one of the best coastal cities in the world in terms of coral reefs.

The project will raise the level of tourism in the region and attract greater number of tourists, as this will contribute to raising the level of investment.

The economic indicators of the project shown in the table below:

Table :1 economic indicators

Indicator	
Total Investment Requirement (JD)	47,315
Internal Rate of Return (IRR)	%39.53
Pay-Back Period (year)	5
Net present value (JD)	193,485
Job Opportunities provided by the project	7
Annual Revenue Projections (10 years)	1,151,643
Total Operating Expenses (10 years)	446,514
Net Profit (10 years)	299,686

2. Key Highlight of Jordan

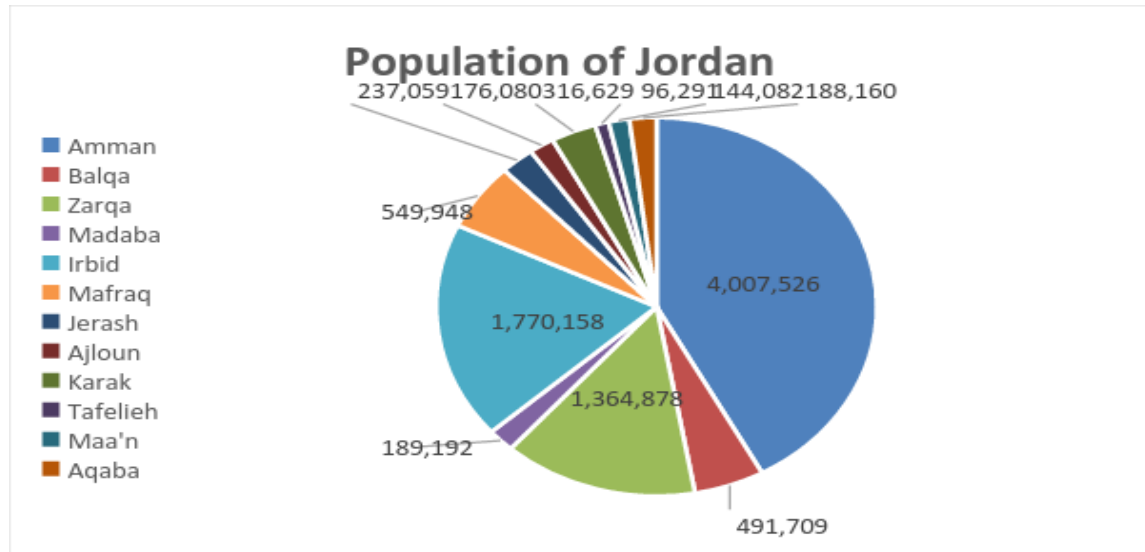
Jordan Hashemite Kingdom area is 89342 Kilometers with a population exceed 9.8 Millions distributed among 12 Governorates. Jordan is bounded by Saudi Arabia, Iraq, Syria and Palestine from the South, East, North and west respectively. Jordan climate is mostly arid desert with rainy season between November to April Months.

Jordan is a free market economy, ranked as the fifth freest economy in the MENA region in the Index of Economic Freedom. Its free market economy enjoys strong partnerships amongst its neighboring country as well as Europe and the USA. Jordan is a signatory of several bilateral and multilateral trade agreements such as (Free Trade Agreement with the US and the EU, a Free Trade Agreement with the EFTA states, an FTA with Singapore, A member of the Greater Arab Free Trade Agreement (GAFTA) and a signatory of the Aghadir Agreement. Looking at the range of countries these agreements cover and facilitate trade between, one is confident to say that Jordan has business gateways and partnerships across the globe.

Population Overview

Based on the latest surveys done by Department of Statistics (DOS) in 2017, total number of population has reached around 9.814.995 with an increase rate of 2.88% from 2016 year, figure below summarizes the population distribution among the kingdom governorates.

Figure1 :Population of Jordan



Department of Statistics (DOS), 2015

Moreover, and based on the latest survey conducted by (DOS) which related to population nationality distribution over the governorates, it was found that total Non-Jordanian residents constitutes around 30% of the total population. Half of these are Syrians (1.3 Million) concentrated mainly in Amman Capital (436 Thousand) then Irbid (343 Thousand), Mafrq at 208 Thousand and Zarqa at 175 Thousand.

Jordan prides itself in its youthful population with 35% of ages below 15 years old and only 4% with ages above 65 years old. Table below summarizes population distribution of Jordanians according to Age Group:

Table2 :Population Distribution according to Age Group

Age Group	% Population	Males	Females
Years 14-0	35.04%	19.2%	18.2%
Years 64-15	61.02%	30.7%	28.6%

More than 65 Years	3.94%	1.6%	1.6%
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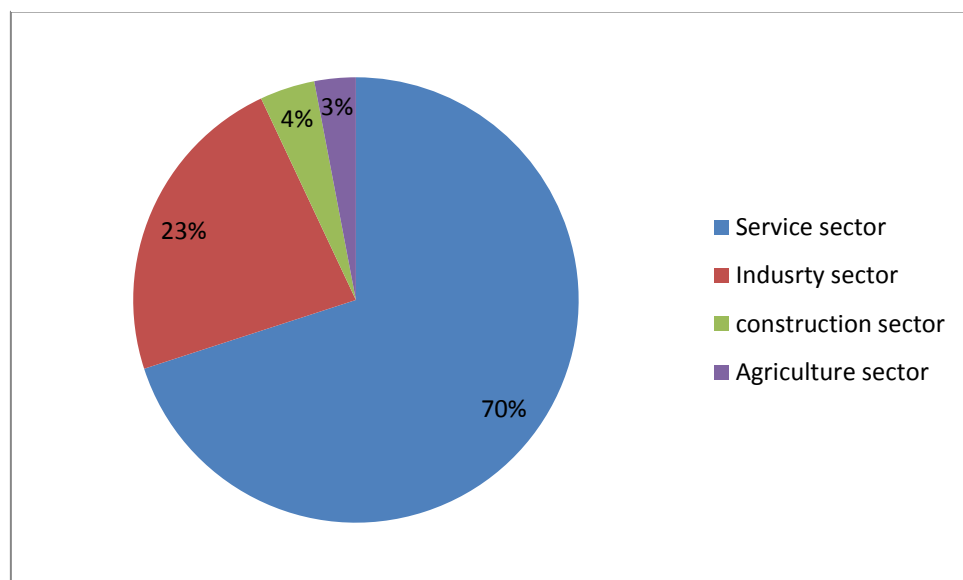
Department of Statistics (DOS), 2015

Overview of Jordan Economy

Classified as an upper middle economy by the World Bank and as a country of High Human Development by the UNDP, Jordan is an important financial power in the Middle East. Its small market witnessed growth in the last two decades since King Abdullah II accessed the throne. Jordan's GNI per capita has increased in the last four years due to the basket of economic reforms that were enacted in the recent decade such as (the new Income Tax Law, Public Private Partnership Law and Investment Law). These laws aim to encourage the participation of the private sector in the Kingdom's economic development and provide an enabling legislative environment for current and new investment opportunities.

The Jordanian economy is overwhelmingly services oriented and its contribution in the GDP is 68.1%. The contribution of the industrial sector is 22.4%, the construction sector is 4.2% and the agricultural sector is 2.9%. These contributions are aimed to increase to (27.4%), (5.8%) and (3.4%) respectively and that of the service sector is due to decrease according to Jordan 2025 vision

Figure 2: Sectors Contribution to Jordan's Economy



Jordan's exports include variety of textiles, potassium, phosphates, fertilizers, vegetables and pharmaceutical products. While it's main imports are crude and refined petroleum. Distinguished by its strategic location, on the crossroads between Asia, Africa and Europe with strong connections to the Levant and the GCC, Jordan has a regional market of interest that represents US\$3.8 trillion market and comprising 380 million consumers.

Jordan infrastructure ranks comparatively well (38th out of 148 comparable economies), with an extensive 8000 KM road network connecting Jordan domestically and externally The new Queen Alia International Airport and the Port of Aqaba are the major gateways to the international market. In addition to some mega projects such as the Red- Dead Sea Canal and the national railway network that will be developed to position Jordan as a hub for regional commerce.

Jordan banking system is quite sophisticated, resilient and in compliance with international standards, making it very attractive and trustworthy to investors. This is reflected in the fact that 50% of equity in licensed banks in Jordan is held by non-Jordanians, and non residents' deposits in Jordanian banks witnessed a steady growth of 19.2%.

Moreover, realizing the value of MSMEs to drive economic growth, the government has developed the national Strategy for the encouragement of entrepreneurship and the development of micro small and medium sized enterprises for 2015-2019. This shows the commitment of the Jordan government to enhance the private sector development and leveraging the country's strong human capital.

Jordan prides itself in its youthful population. It's the country most valuable capital. A tech savvy well educated and trained workforce attracts a lot of investors to Jordan. More than 20.4% of Jordan's GDP is dedicated to the education and capacity building for the labor force, this has

resulted in securing a 91% literacy rate and enabled Jordanians to be among most hired and qualified middle-eastern workforce.

Such solid, diverse and resilient characteristics of the Jordanian economy and investment scene position Jordan as a competitive investment destination

Major Economic Indicators

- **GDP Growth**

The Jordanian economy slowed and reached 2.4 percent in 2015 compared to growth rate of 3.1 in 2014 and similar to MENA growth rates.

The growth also slowed for trade, restaurants and hotels; manufacturing; transport; and electricity and water. Meanwhile, finance, insurance, and business services advanced at a faster pace.

- **Inflation rate**

Inflation rate decreased to 0.9 in 2015 after 2% decline in the previous year. Inflation Rate in Jordan averaged 3.1 percent from 2011 until 2015.

- **Unemployment**

The unemployment rate in Jordan was recorded at 13 percent in 2015, comparing to 11.9 percent a year earlier. This increase due to the current instability in the labor market structure as well as high competition from low cost foreign labors especially from Syria.

- **External Sector**

A number of risks manifested in 2015, the closure of land trade routes with Syria and Iraq and the deepening instability in the region adversely impacted many external sector indicators such as trade, tourism and direct Investment.

Moreover, loans disbursements increased by JD 545.3 million, due to the use of the International and Arab Monetary Funds (IMF and AMF) credit facilities. As an outcome of these developments, the overall balance of the balance of payments registered a surplus of JD 328.7 million in 2015, compared with a surplus of JD 1,550.7 million in 2014.

Further, net international investment position (IIP) witnessed an increase in the Kingdom's net obligations to abroad; to reach JD 24,357.5 million, compared to a net obligation of JD 22,578.8 million at the end of 2014 as a result of the increase in the stock of external financial assets and liabilities of all resident economic sectors to reach JD 18,657.9 million and JD 43,015.5 million; respectively.

External Debt in Jordan increased to 9390.50 JOD Million in 2015 from 8030.10 JOD Million in 2014. External Debt in Jordan averaged 5433.67 JOD Million from 1988 until 2015, reaching an all time high of 9390.50 JOD Million in 2015 and a record low of 3640.20 JOD Million in 2008.

Investment Climate in Jordan

Investment in Jordan is considered as one of the vital sources to boost the economy considering that Jordan's economy is among the smallest in the Middle East, with insufficient supplies of water, oil, and other natural resources, underlying the government's heavy reliance on foreign assistance.

The country's location, supported by myriad free trade agreements (FTAs) offering access to 1.5bn consumers, enables the kingdom to be a strategic trade route to many of its neighboring countries and regions.

Jordan aspires to create a competitive investment destination capitalizing on its many advantages mentioned above. The government focused its efforts to implement significant advances in structural and legal reform. These efforts are represented in the new Investment Law of 2014, the tax law, in addition to other endeavors related to providing greater access to credit for MSMEs, and by providing greater investment incentives to specific priority sectors identified by the new Investment law and the Jordan 2025 vision.

Furthermore, in its endeavor to enhance the business environment, several geographically industrial states were created across the kingdom. These range in type to include (industrial estates, free zones and special economic zones). Under the new Investment Law, these zones are given a number of incentives that include a tax rate of 0% on exports, sales tax, import duties, social service tax, dividends tax and a 5% income tax from all economic and manufacturing activities undertaken in the development zones. As for the investments in Free Zones, they enjoy Exemptions from customs duties, income tax exemptions and exemptions from land and building taxes among others. Both development and free zones also enjoy facilitations regarding visa and residency permits for investors and workers in addition to Repatriation of capital and profits in a convertible currency. Such estates have succeeded in attracting relatively large amounts of FDI to Jordan.

Key National Investment Priorities:

Jordan Investment commission worked on taking a leading role in the application of government policies to promote and attract domestic and foreign investments and create an investment environment that stimulates economic performance through investment promotion strategy launched in 2016

Jordan investment commission aims to:

- Regulating the special provisions governing Development Zones and Free Zones in the Kingdom and developing them placing them in service of the national economy as well as monitoring their functioning.
- Developing plan and programs to stimulate domestic and foreign investments.
- Establishing trade centers and organizing exhibitions as well as opening markets and organizing trade missions in order to promote national products, in addition to marketing and development of national exports and encouraging investment.
- Taking appropriate decisions related to private or public institutions to improve Investors' confidence in Jordan's investment environment.

3. Market analysis

Project Description

The idea of the proposed project is to build a diving center in Aqaba to take advantage of the Gulf and the exists of coral reefs. The center will provide diving services with professional trainers. The booking for these services will be in the center office or through marketers and public relations employees .

The location of the center proposed to be in Aqaba Marine Park by renting a land.

The diving center will provide the following:

- All necessary diving equipment.
- Transport service, which includes: transport customers from and to their residence and the Aqaba Marine Park to perform diving .
- Photography and video services inside and outside the water.

Project Specifications

- There are 23 diving locations in Aqaba, 21 of which are within the borders of Aqaba Marine Park so it was chosen to be the project location.
- Diving trainers should becertified by PADI or any equivalent organization. PADI is an organization in Aqaba that provides specialized courses to train and license professional diving trainers .
- Equipment for diving: Includes compressed air cylinder, balance machine, weight belt, face mask, stubble, fins, air regulator, air pump and diving suit.
- Each diver must have the following:
 - 1) Internationally recognized diving trainer certificate .
 - 2) Ability to use modern diving equipment in accordance with international standards.

- Boats that transport the divers to the diving location should have mooring buoys at each site in order to avoid the use of anchors.
- The center will have a boat with a capacity to accommodate 30 persons, for example, to include a 15 diving trainees with 15 accompanying divers.

Project Objectives

- Achieve profitable returns for the project owners.
- Attract tourists and local residents to the governorate.
- Provide excellent services to increase investment in the region.
- Provide job opportunities to Aqaba residents.

Proposed Services

The project proposed service :

- Diving equipment to everyone would like to dive.
- Professional trainers who hold certificates to train beginners.. Each trainee will have a personal trainer
- Special subscription for certified professional divers, , in addition to the availability of a trainer to accompany them. Therefore it will be a trainer for every 3-5 divers.

Target Segments

- Foreign tourists.
- Visitors of Aqaba.
- Aqaba residents.
- All those who wish to experience diving.

Market Size Analysis

The analysis of the market depends on the number of tourists in Aqaba .The following figure shows the number of visitors during 2013 and 2014.

Table 3: Number of visitors in Aqaba

Month	2013			2014		
	Overnight Visitors	Same Day Visitors	Total	Overnight Visitors	Same Day Visitors	Total
January	315,386	140,660	456,046	335,736	108,442	444,178
February	260,094	114,483	374,577	268,872	90,307	359,179
March	328,524	132,342	460,865	327,412	113,723	441,134
first quarter	904,004	387,485	1,291,489	932,020	312,471	1,244,491
April	342,551	110,777	453,328	385,571	125,897	511,468
May	312,896	103,648	416,543	343,092	108,655	451,748
June	369,771	137,965	507,736	387,179	143,020	530,200
second quarter	1,025,218	352,389	1,377,607	1,115,843	377,573	1,493,415
July	308,317	120,651	428,968	258,045	94,674	352,719
August	447,263	143,268	590,531	478,017	149,538	627,556
September	337,392	110,944	448,337	322,316	115,227	437,542
Third quarter	1,092,973	374,863	1,467,835	1,058,378	359,439	1,417,817
October	369,169	133,938	503,108	347,299	105,905	453,205
November	287,865	97,028	384,893	268,037	89,741	357,778
December	266,131	97,855	363,986	268,334.58	91,459.8842	359,794
Fourth quarter	923,166	328,821	1,251,987	883,671	287,106	1,170,778
Total	3,945,360	1,443,558	5,388,918	3,989,913	1,336,589	5,326,501

Source: Ministry of Tourism and Antiquities.

Although there are many diving centers that offer diving services but that does not cover the number of tourists visiting the region, there are 18 diving centers compared with 484,039 visitors and tourists that visited Aqaba through 2016 . The market study found that tourists who went to the diving centers are 1% which is about 6,300 person annually.

Competitors Analysis

From the 18 dive centers in Aqaba, there are 10 centers that compete to provide the service:

Sindibad Center: offers diving services in Berenice Beach Club. It also provides a beach and two swimming pools for relaxation and swimming. photography services are also available inside and outside the water, and a private coach for every trainee to train and take customers on a diving tour for one-hour.

Furthermore, the center provides transport service from the residence to the beach and vice versa. The price of these services is 50 Jordanian Dinars.

Aqaba International Diving Center: The center offers diving services at the Aqaba Marine Park, as well as photography service inside and outside the water. A special coach is available for to train and take each trainee on a diving tour for a half-hour to an hour.

The center also offers transport services from the residence to the coast and vice versa, the price of these services is JD 30

Red Sea diving center : A 13-bedroom hotel with a private pool. It offers diving services to hotel guests and non-guests. The price of diving for non-guests is 34 JD, and 60 JD for guests including a room.

- Diva Aqaba: a center in Aqaba Marine Park. Provide services for JD 45.
- Arab Divers.
- Royal Diving Club
- Marsa Aqaba Diving: a center in Aqaba Marine Park that provides services for JD 35.
- Al-Jamal Dive Centre: a center in Aqaba Marine Park that provide services for JD 35

- Akuamarena: a center in Aqaba Marine Park that provides services for JD 45
- Coral Club: Provides services for 35-45 JD.

Price Analysis and Pricing Policy

After studying the prices of diving centers in Aqaba, the proposed service price was determined as follows:

- JD 37 for trainees, includes: transport and photography services, in addition to the all necessary equipment for diving as well as a special trainer .
- JD 27 for certified divers, the services include all necessary equipment in addition to transport and photography services. Every 3-5 divers are accompanied by a trainer.
- JD 15 for certified divers who have all the necessary equipment. the services include provision of boats, photography and transport services .Every 3-5 divers are accompanied by a trainer.

Expected Occupancy Rates

The table below represents the expected market share for a Dive Center project in Aqaba:

Table 4:Expected Occupancy Rate

First Year	Second	Third	Fourth	Fifth	Sixth	Seventh	Eighth	Ninth	Tenth
%25	%25	%25	%35	%40	%45	%50	%55	%55	%60

Expected Revenues

The following table shows the expected revenues for 10 years of the project :

Table 5: Project revenues for 2016-2018

Pricing and booking assumptions	201	201	202	202	202	2023	2024	2025	2026	2027
Number of customers	294	294	294	294	336	378	420	420	420	420
Percentage of customers of the maximum operating capacity	7.00	7.00	7.00	7.00	8.00	9.00	10.00	10.00	10.00	10.00
Selling price per person	15	15	16	16	17	17	18	18	19	20
Total Revenues	648	667	687	708	952	1242	1579	1627	1675	1726

Revenue was calculated based on the occupancy rate out of the maximum capacity of the project, which is 20 Pearson per day.

4. Technical analysis

Required Human Resources

Table 6: The required employment for the project

Job Title	Number
Indirect employees	
General Manager	1
Accountant	2
Guard	1
Booking Assistant	1
Total number of indirect employees	5
Direct employees	
Seasonal Trainers	2
Total number of direct employees	2
Total number of employees	7

الوصف الوظيفي للموارد البشرية المطلوبة:

- المدير: وضع الخطط والإستراتيجيات،
- محاسب: مراقبة الإيرادات والنفقات وتقديم تقرير سنوي.
- حارس: يقوم بحراسة المركز وما فيه من معدات وأجهزة.
- موظف حجوزات: يقوم بالتنسيق مع الأشخاص وأخذ المواعيد والرد على الإستفسارات.
- مدربين موسميين: مدربين محترفين يقومون بالنزول مع الأشخاص لمساعدتهم بالغوص وإنقاذهم عند الحاجة.

Location Analysis

Locations proposed for the project:

- Al-Iman building where the diving equipment offices are.
- Commercial market
- Al-Khamseh area

Diving Center in Aqaba

- Downtown

Technical Requirements Analysis

Land and Construction works:

The project will be constructed on an area of 200 m², the office will include booking services and diving equipment.

Machines and Equipment

The following table shows the machinery and equipment needed for the project as follows:

Table 7: Machines and equipment

Machines and equipment	Number
Dive equipment	20
Rubber boat	1
Others	-
Total	

Furniture Requirements

The project needs office furniture and furnishings to serve the administrative staff.

Legal requirements and procedures

الاجراءات القانونية لاختد ترخيص لاقامة مركز غوص في العقبة في منطقة منتزه العقبة البحري:

(1) عقد ايجار للمكتب.

(2) سجل تجاري من عمان ويذكر فيه انه نادي غوص ويحق له فتح فرع في العقبة.

(3) موقع المكتب.

(4) سجل في غرفة تجارة العقبة.

(5) مخطط للموقع.

(6) تفويض من صاحب الشركة \ وجود صاحب الشركة شخصيا.

- رسوم الترخيص : 275 دينار للمنطقة الاقتصادية الخاصة في العقبة + رسوم نفايات 1 دينار/ متر + 600

دينار/ سنويا استئجار موقع في منتزه العقبة

- في حال استيراد معدات الغوص من الخارج فيتم دفع مبلغ 1500 شهادة استثمار + 5% ضريبة دخل من صافي المشتريات

- سيتم الالتزام بجميع التعليمات الخاصة بتنظيم الغوص في منتزه العقبة البحري الواردة في التعليمات رقم 85 لسنة 2005 :

- يجب على الغواص (المدرّب) أن يكون حائز على شهادة خوص معترف بها دوليا
- يمنع تدريب الغواصين الجدد الا في المناطق العشبية و الرملية.
- يمنع من الغواصين الإقتراب من المرجان لمسافة أقل من متر.
- يجب وضع عبارة (diver down) ورفعها في القارب عند الغوص.
- ان يستخدم الغواص معدات حديثة وصالحة.

تعليمات رقم 85 /تعليمات خاصة بتنظيم الغوص في منتزه العقبة البحري

5. Financial Analysis

The Financial Part illustrates all the assumptions which were used when we have developed the study including project expenses related to capital expenditures, operating expenses (Fixed and Variable costs) followed by illustrating project revenues.

Assumptions

Assumptions

Calculation Assumptions:

- The weighted average cost of capital used in the study is 15.1% as it was calculated considering risk free and debt Interest rates as well as Market risk premiums to consider alternative opportunity costs for investor.
- Income tax on the net project income is 5 % during the life time of the project.
- Project working capital has been estimated and added to project cash outflows at the beginning of the project and annual increase in working capital has been also estimated and added to the operating expenses then net working capital has been added to total cash inflows at the end of project lifetime.

The time span for the financial study is 10 years starting from 2018, where annual increase rates have been estimated as per the tables below:

Table 8:General Information

General Information	
All Financial Numbers (Currency)	Jordan Dinars
Financial Study Time Span (Years)	10
Expected Project First Operating Year	2018
Last Year in the Financial Study	2027

Table 9:Currency Exchange Rates

Exchange Rates	Jordan Dinars
American Dollar	0.708
Euro	0.760

Table 10:Project working times

Project working times	
Number of weeks/Year	52
Working Days/Week	7
Number of days / Year	210
Number of working hours/Day	8

Table 11:Annual Growth Rates Assumptions

Annual Growth Rates	Average
Annual Population Growth Rate	2.20%
Annual Sales Price Increase Rate	3.00%
Annual Expenses Increase Rate	3.00%
Annual Increase Rate in Employees Salaries	4.1%

(1) and (2) Source: Inflation Rates, Central Bank of Jordan

(3) Source: Social Security

Table 12: Assumptions of expenses

Assumptions of expenses	
Expenses of raw materials of income (food and drink)	0%
Service benefit expenses from revenues	5.00%
Maintenance expenses from revenues	2.50%
Consumer expenses from revenues	1.00%
Insurance expenses from the value of assets	0.75%
Marketing expenses of revenue	1.00%

Table 13: Income Tax Assumptions

Income Tax Assumptions	Value
(1) Average Income Tax in Jordan	5%
(2) Income Tax Deduction	0%
Income Tax after Deduction	5%
(3) Compulsory Reserve Percentage	10%
Other Assumptions	Value
Annual Monthly Salaries have been calculated after multiplying	16

Table 14: Risk Premium

Risk Premium	
(1) Risk Free Rate of Return	6.50%
(2) Return to Debt Maturity	9.48%
(3) Market Risk Premium	10.12%
Income Tax Rate	5.00%
(4) Beta	1
Growth Rate	4.00%

(1) Source :Damodaran's Country Default Spreads and Risk Premiums Report

(2) Source :Central Bank of Jordan

(3) Source :Damodaran's Country Default Spreads and Risk Premiums Report

(4) Source :Damodoran Beta By Sector, , pages.stern.nyu.edu

Table 15: Weighted Average Cost of Capital

Weighted Average Cost of Capital	
Average Return on Risk Free Investment	%6.50
Return to Debt Maturity	%9.48
Market Risk Premium	%10.12
Income Tax Rate	%5
Bets	1.00
Equity	37,852
Loans Value	9,463
Loans	
Cost of Borrowing before Tax	%9.48
Cost of Borrowing After Tax	%9.01
Loans Value	9,463
Loans Percentage	%20
Equity	
Cost of Equity	%16.6
Equity Value	37,852
Equity Percentage	%80
Gross	
Project Value	47,315
Project Percentage	%100

Capital Expenditures

The estimated cost of the project is 47,315 JD and it covers land costs, construction works, machinery and equipment, furniture, pre-operating expenses, working capital and vehicle requirement. The following tables summarize the details of these expenses:

Diving Center in Aqaba

Table 16: Machines and equipment Capital Expenditure

Description	Number	Unit Cost / JD	Gross Cost/ JD
Dive equipment	20	500	10,000
Rubber boat	1	12,000	12,000
Others	-	-	1,000
Total (JD)			23,000

Table 17: Furniture Capital Expenditure

Description	Number	Unit Cost / JD	Gross Cost/ JD
Furniture	-	-	3,000
Total			3,000

Table 18: Pre-operating expenses

Pre-operating expenses	Estimated cost (JD)
Governmental fees	275
Transportation	100
Marketing	500
Training	150
Total	1,025

The initial working capital reflects the project's amounts needed to cover all the expenses during operation until the project starts generating income, the following table shows the components of the initial working capital:

Table 19: Working Capital

Working Capital	No. of	%	Estimated Cost
Operating expenses	3	%25	8,587
General and administrative expenses	3	%25	2,952
Marketing expenses	3	%25	162

Indirect Salaries	3	%25	4,288
Total			15,989

Table 20:Expenses Summary

Capital expenditure	Cost (JD)	Contingency	Cost (JD)	%
Machinery &Equipment	23,000	10%	25,300	%53.5
Furniture	3,000	10%	3,300	%7.0
Pre-Operating Expenses	1,025	10%	1,128	%2.4
Working capital	15,989	10%	17,587	%37.2
Total (JD)	43,014		47,315	100%

Source of funding

The financing structure of the project consists of loans and Equity. The investment cost of this project is estimated at (47,315) JD, where 20% of the project will be financed through loans (9,463) JD, and the remaining (80%) through (Equity) with (37,852) JD. The following table summarizes the general structure of the required financing:

Table 21:Sources of Funding

Funding Sources	Amount	Percentage
Equity	37,852	%80
Loans	9,463	%20
Total	47,315	%100
Use of Fund:	Value	Ratio
Capital Expenditures	28,600	%60.45
Pre-Operating Expenses	1,128	%2.38
Working Capital	17,587	%37.17
Total	47,315	%100.00

Operating Expenses

The following table summarizes the expected operating expenses for the proposed project (2018-2027):

Table 22: Operating Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Raw Materials and	3,241	3,339	3,439	3,542	4,765	6,212	7,899	8,136	8,380	8,631
Maintenance from	1,621	1,669	1,719	1,771	2,382	3,106	3,949	4,068	4,190	4,316
Disposables from	648	668	688	708	953	1,242	1,580	1,627	1,676	1,726
Direct Salaries	28,000	29,148	30,343	31,587	32,882	34,230	35,634	37,095	38,616	40,199
Others	838	871	905	940	1,025	1,120	1,227	1,273	1,322	1,372
Total	34,348	35,694	37,094	38,549	42,007	45,910	50,288	52,198	54,183	56,244

General and Administrative Expenses

The following table summarizes the expected general and administrative expenses for the proposed project (2018-2027):

Table 23: General and Administrative Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Telecom	1,200	1,236	1,273	1,311	1,351	1,391	1,433	1,476	1,520	1,566
Hospitality	600	618	637	656	675	696	716	738	760	783

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Stationary and Printing	120	124	127	131	135	139	143	148	152	157
Transportaton	600	618	637	656	675	696	716	738	760	783
Renting	7,500	7,725	7,957	8,195	8,441	8,695	8,955	9,224	9,501	9,786
Training	500	515	530	546	563	580	597	615	633	652
Insurance	215	221	228	234	241	249	256	264	272	280
Miscellaneous	1,073	1,106	1,139	1,173	1,208	1,244	1,282	1,320	1,360	1,401
Total	11,808	12,162	12,527	12,903	13,290	13,689	14,099	14,522	14,958	15,407

Marketing Expenses

Table 24:Marketing Expenses

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Marketing Expenses	648	668	688	708	953	1,242	1,580	1,627	1,676	1,726

Human Resources

The total annual salaries and monthly wages has been estimated on 16 months for the purpose of considering annual increments on salaries as well as payments related to social security and health insurance,... etc.

The following table summarizes the expected annual salaries and wages, considering annual increment on salaries as per the income statement:

Table 25: Expected monthly salaries and salaries for the years (2018-2027)

Job Title	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Indirect Employees										
General Manager	1,000	1,041	1,084	1,128	1,174	1,223	1,273	1,325	1,379	1,436
Accountant	450	468	488	508	528	550	573	596	621	646
Guard	200	208	217	226	235	245	255	265	276	287
Booking Assistant	350	364	379	395	411	428	445	464	483	502
Direct Employees										
Seasonal Trainers	2,000	2,082	2,167	2,256	2,349	2,445	2,545	2,650	2,758	2,871

Table 26:25 Expected annual salaries

Job Title	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Indirect Employees										
General Manager	7,000	7,287	7,586	7,897	8,221	8,558	8,908	9,274	9,654	10,050
Accountant	6,300	6,558	6,827	7,107	7,398	7,702	8,018	8,346	8,689	9,045
Guard	1,400	1,457	1,517	1,579	1,644	1,712	1,782	1,855	1,931	2,010
Booking Assistant	2,450	2,550	2,655	2,764	2,877	2,995	3,118	3,246	3,379	3,517
Total Indirect Employees	17,150	17,853	18,585	19,347	20,140	20,966	21,826	22,721	23,652	24,622
Direct Employees										
Seasonal Trainers	28,000	29,148	30,343	31,587	32,882	34,230	35,634	37,095	38,616	40,199
Total Direct Employees	28,000	29,148	30,343	31,587	32,882	34,230	35,634	37,095	38,616	40,199
Total	45,150	47,001	48,928	50,934	53,023	55,196	57,460	59,815	62,268	64,821

Depreciations

The following tables illustrate cost of Capex and Depreciation rates:

Table 27: Capex and Depreciation Expenses

Capex Cost and Annual Depreciation Rates	Cost (JOD)	Depreciation Rate	Annual Additions Percentage
Machineries	25,300	%10.0	%2.0
Furniture	3,300	%10.0	%5.0
	28,600		

Table 28: Depreciations and Additions on Construction Works

Capex, Annual Additions and Depreciations	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Total Fixed Assets	28,600	29,271	29,960	30,669	31,397	32,145	32,914	33,705	34,519	35,355
Total Depreciation Expenses	2,860	2,927	2,996	3,067	3,140	3,214	3,291	3,371	3,452	3,536
Total Accumulated Depreciation	2,860	5,787	8,783	11,850	14,990	18,204	21,496	24,866	28,318	31,853
Total Additions	0	671	689	708	728	748	769	791	813	837
Total Net Book Values	25,740	23,484	21,177	18,819	16,407	13,941	11,419	8,839	6,201	3,502

Loan

The table below summarizes all details related to the loan such as annual instalments and payment methods for the remaining amount of the loan for each year of the project to 2020.

Table 29: Loan Details

Loan Value	9,463
Annual Interest Rate	9.48%
Loans Period	5
Grace Period	0
Loan Starts at year:	2018
Annual Payment	2,463
Number of Payments	5

Year	Annual Payment	Interest	Capital	Loan Remaining Value
2018				9,463
2019	2,463	897	1,566	7,897
2020	2,463	749	1,715	6,182
2021	2,463	586	1,877	4,305
2022	2,463	408	2,055	2,250

2023 2,463 213 2,250 0

Income Statement

Table 30: Income Statement

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Revenues										
Sales Revenues	64,827	66,772	68,775	70,838	95,299	124,231	157,973	162,712	167,594	172,621
Gross Operating Revenues	64,827	66,772	68,775	70,838	95,299	124,231	157,973	162,712	167,594	172,621
Operating Expenses	-34,348	-35,694	-37,094	-38,549	-42,007	-45,910	-50,288	-52,198	-54,183	-56,244
Gross Operating Profit	30,479	31,078	31,681	32,290	53,292	78,322	107,685	110,514	113,411	116,378
<i>Gross Profit Percentage</i>	%47	%47	%46	%46	%56	%63	%68	%68	%68	%67
Salaries and Benefits (Indirect	-17,150	-17,853	-18,585	-19,347	-20,140	-20,966	-21,826	-22,721	-23,652	-24,622
General and Administraive	-11,808	-12,162	-12,527	-12,903	-13,290	-13,689	-14,099	-14,522	-14,958	-15,407
Markeing Expenses	-648	-668	-688	-708	-953	-1,242	-1,580	-1,627	-1,676	-1,726
Pre Operating Expenses	-1,128									
Gross Indirect Expenses	-30,734	-30,683	-31,800	-32,958	-34,383	-35,897	-37,505	-38,870	-40,286	-41,755
Income before Interest,	-255	395	-119	-669	18,909	42,424	70,180	71,644	73,125	74,623
Fixed Assets Depreciations	-2,860	-2,927	-2,996	-3,067	-3,140	-3,214	-3,291	-3,371	-3,452	-3,536

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Income before Tax and Interests	-3,115	-2,533	-3,115	-3,736	15,769	39,210	66,889	68,273	69,673	71,088
Bank Interests	-897	-749	-586	-408	-213	0	0	0	0	0
Income Before Tax	-4,012	-3,281	-3,701	-4,144	15,556	39,210	66,889	68,273	69,673	71,088
Income Tax	0	0	0	0	-108	-1,960	-3,344	-3,414	-3,484	-3,554
Net Profit	-4,012	-3,281	-3,701	-4,144	15,448	37,249	63,544	64,860	66,189	67,533
<i>Net Profit Percentage</i>	%6-	%5-	%5-	%6-	%16	%30	%40	%40	%39	%39
Compulsory Reserves	0	0	0	0	-1,545	-3,725	-6,354	-6,486	-6,619	-6,753
Retained Earnings	-4,012	-7,293	-10,994	-15,138	-1,235	32,290	89,480	147,853	207,424	268,204

Expected Cashflows Statement

The table bellow summarizes project cashflows statement, where net cash flows are positive during all years as below:

Table 31:Expected Cashflows

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Cash Inflows from Operating Activities										
Net Profit	-4,012	-3,281	-3,701	-4,144	15,448	37,249	63,544	64,860	66,189	67,533

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Bank Interests	897	749	586	408	213	0	0	0	0	0
Depreciation	2,860	2,927	2,996	3,067	3,140	3,214	3,291	3,371	3,452	3,536
Total Operating Cashflows before Additions to Working Capital	-255	395	-119	-669	18,801	40,464	66,836	68,230	69,641	71,069
Inventory (Increase/Decrease)	0	0	0	0	0	0	0	0	0	0
Accounts Receivables (Increase/Decrease)	0	0	0	0	0	0	0	0	0	0
Accounts Payables (Increase/Decrease)	5,725	224	233	242	576	650	730	318	331	343
Working Capital (Increase/Decrease)	5,725	224	233	242	576	650	730	318	331	343
Net Cashflows from Operating Activities	5,470	619	115	-426	19,377	41,114	67,566	68,549	69,972	71,412
Cashflows from Investments Activities										
Fixed Assets (Procurement)	-28,600	-671	-689	-708	-728	-748	-769	-791	-813	-837
Net Cashflows from Investments Activities	-28,600	-671	-689	-708	-728	-748	-769	-791	-813	-837
Cashflows from Financing Activities										
Capital	37,852									
Loan Amortization	-1,566	-1,715	-1,877	-2,055	-2,250	0	0	0	0	0
Bank Interest Rate	-897	-749	-586	-408	-213	0	0	0	0	0

	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Loans	9,463	0	0	0	0	0	0	0	0	0
Net Cashflows from Financing Activities	44,852	-2,463	-2,463	-2,463	-2,463	0	0	0	0	0
Net (Increase/Decrease) in Cash	21,722	-2,515	-3,038	-3,598	16,186	40,366	66,796	67,758	69,159	70,576
Cashflows at the Beginning of Period	0	21,722	19,206	16,168	12,570	28,756	69,122	135,919	203,676	272,835
Cashflows at the End of Period	21,722	19,206	16,168	12,570	28,756	69,122	135,919	203,676	272,835	343,410

Expected Balance Sheet

The balance sheet is one of the main statements which the project depends on, as it reflects the financial position of the entity and is usually estimated on the last day of the financial year.

All financial information and analysis of the project shall be the estimated for the years (2018-2027) as shown in the table below:

Table 32: Expected Balance Sheet

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Assets										
Current Assets										
Cash	21,722	19,206	16,168	12,570	28,756	69,122	135,919	203,676	272,835	343,410
Inventory	0	0	0	0	0	0	0	0	0	0

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Accounts Receivable	0	0	0	0	0	0	0	0	0	0
Total current Assets	21,722	19,206	16,168	12,570	28,756	69,122	135,919	203,676	272,835	343,410
Non Current Assets										
Fixed Assets (net)	25,740	23,484	21,177	18,819	16,407	13,941	11,419	8,839	6,201	3,502
Total Non Current Assets	25,740	23,484	21,177	18,819	16,407	13,941	11,419	8,839	6,201	3,502
Total Assets	47,462	42,690	37,346	31,389	45,163	83,063	147,337	212,515	279,035	346,912
Liabilities										
Current Liabilities	5,725	5,949	6,182	6,425	7,001	7,652	8,381	8,700	9,030	9,374
Remaining amount of Loan	1,715	1,877	2,055	2,250	0	0	0	0	0	0
Total current Liabilities	7,439	7,826	8,237	8,675	7,001	7,652	8,381	8,700	9,030	9,374
Non Current Liabilities										
Long Terms Loans	6,182	4,305	2,250	0	0	0	0	0	0	0
Total Long Term Liabilities	6,182	4,305	2,250	0	0	0	0	0	0	0
Total Liabilities	13,622	12,131	10,487	8,675	7,001	7,652	8,381	8,700	9,030	9,374
Owners Equity										
Shareholders Contributions	37,852	37,852	37,852	37,852	37,852	37,852	37,852	37,852	37,852	37,852
Statutory Reserve	0	0	0	0	1,545	5,270	11,624	18,110	24,729	31,482
Retained Profits	4,012-	7,293-	10,994-	15,138-	1,235-	32,290	89,480	147,853	207,424	268,204
Total Equity	33,840	30,559	26,858	22,714	38,162	75,411	138,956	203,816	270,005	337,538

Description	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Total Liabilities and Equity	47,462	42,690	37,346	31,389	45,163	83,063	147,337	212,515	279,035	346,912

Feasibility Indicators

There is more than one method to calculate the discounted cash flow statement. However, in this study, WACC was used to calculate the discounted cash flows and net investment value. The Company's financing structure is based on equity and loans, therefore the discounted rate should be adjusted according to WACC based on the following assumptions, the following table illustrates the net expected free cash flow of the project:

Table 33:Free Net Cash flows Table

Net Cashflows	Before Operatin g	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	Final Value
Net Free Cashflows	-47,315	6,597	-52	-575	-1,135	18,649	40,366	66,796	67,758	69,159	70,576	661,416
Discount Factor	1.00	0.87	0.75	0.66	0.57	0.50	0.43	0.37	0.32	0.28	0.25	0.25
Net Present Value for Cash Flows	-47,315	5,732	-39	-377	-647	9,233	17,363	24,963	22,001	19,510	17,298	162,116

Payback Period

Table below illustrates payback period for the project, as it is one of the indicators which investors care about before taking the investment decision as they need to know when the project will return the invested amount of money. Payback period definition is the total required period so that the project generates total money equal to the total invested capital expenditure, as investor is always looking to return the full invested amount of money at the earliest possible

Table 34: Payback Period

Payback Period	Before Operating	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027
Net Free Cashflows	-47,315	6,597	-52	-575	-1,135	18,649	40,366	66,796	67,758	69,159	70,576
Project Value	47,315	40,718	40,770	41,344	42,479	23,830	-16,536	-83,332	-151,090	-220,249	-290,824
Payback Period	5	1	1	1	1	1	0	0	0	0	0

Table 35: Financial Analysis Results

Description	
Weighted Average Cost of Capital (WACC)	%15.10
Net Present Value for Cashflows	229,839
Payback Period	5
Internal Rate of Return	%39.53

Sensitivity Analysis

Sensitivity analysis is conducted to investigate the effects of changes in significant inputs of the financial analysis. This includes the decline in revenues, changes in total investment costs, and increase in operating costs with 10%, which indicate that the project is feasible.

The following table shows that the project will be feasible if the revenues declined with 10% or the operating costs increase by 10%.

Table 36: Sensitivity Analysis

Sensitivity Analysis	Internal Rate of Return	Payback Period	WACC
Original Scenario	%39.53	5	15.10%
Revenues declined by 10%	%31.70	6	15.10%
Operating Expenses Increased by 10%	%35.75	6	15.10%

Conclusions and Recommendations

Based on the profitability analysis and considering that project internal rate of return is higher than WACC, it is concluded that the project is feasible as the net present value for the project is positive 229,839 Jordan Dinars considering that the project provides 7 Job Opportunities for the governorate residents.